

Whether through mutual funds or managed accounts, there is, in aggregate, little or no reward for bearing the additional costs of active management. This is logical, since all active managers have access to the same information when competing against one another for possible excess returns. It is therefore very difficult for an active manager to gain and retain a competitive advantage over his or her similarly qualified peers. For every buyer there is an equally well-informed seller, and both think they are making the correct decision. Benjamin Graham described the situation best many years ago when he said, “The stock market resembles a huge laundry in which institutions take in large blocks of each other’s washing.”²¹

NONFUND INVESTING BY INDIVIDUALS

If active investment management and actively managed mutual funds offer no advantage over passive index funds, then how have individual investors done on their own? According to the 2014 “Quantitative Analysis of Investor Behavior,” issued annually by Dalbar, Inc., a Boston-based analytical firm, the average U.S. equity investor achieved an annualized return of 5.02% over the past 20 years, which is 4.2% less than the 9.22% average annualized return of the S&P 500 Index. Over the bull market of the past three years, the average U.S. equity investor gained 10.87% annually, which lagged the 16.18% annual return of the S&P 500 Index by 5.31%.

The average fixed-income investor had an annualized return of only 0.71%, which is 5.03% less than 5.74% return of the Barclays U.S. Aggregate Bond Index over the past 20 years. Both equity and fixed-income investors underperformed their markets over the past 1, 3, 5, 10, and 20 years.

We already know that much of this underperformance is due to investors making poor timing decisions due to their emotional responses to the markets. Investors sell after extended losses and are out when the market rises. Let us look now at some other studies so we can understand more about individual investor behavior.

Using data of 60,000 individual investors at a U.S. discount broker from 1991 through 1996, Goetzmann and Kumar (2008) found that investors are underdiversified. They hold portfolios that are highly volatile and stocks that